

There is a chance that a person will select similar answers for both questions. However, there is also a significant probability that inconsistent framing will generate inconsistent responses from many investors. Specifically, respondents might reject Portfolio ABC in Question 1, yet decide to proceed with ABC in Question 2.

In Question 1, “95 Percent Probability Gain/Loss Range” refers (in Table 12.1) to an interval of two standard deviations above and below the mean. In 95 percent of all cases, ABC returned 10 percent plus-or-minus 30 percent; its standard deviation is 15 percent.

In Question 2, ABC produced a return that, in two-thirds of all cases, would have been the worst return imaginable: It returned one standard deviation below the mean. However, because Question 2 employs one standard deviation rather than two, readers are less likely to consider the one-third of all cases in which ABC could lose more than 5 percent of its value (entering into the 95 percent, rather than the 67 percent, probable gain/loss range).

Like the method employed by grocers (pricing produce in multiples), which subtly suggests some arbitrary, benchmark quantity of oranges for purchase, Question 1 similarly invites people to more intuitively consider the rarer, heavier losses Portfolio ABC could incur if returns breached the 67 percent confidence interval. Here, the implications of framing are important: Inconsistent responses to Questions 1 and 2 could make the questionnaire inconsistent and an inaccurate measure of investor risk tolerance (the questionnaire’s outcome would be, accordingly, a flawed basis for structuring an allocation). Practitioners need to be acutely aware of how framing can affect the outcome of various investment choices.

Implications for Investors

An individual’s willingness to accept risk can be influenced by how questions/scenarios are framed—positively or negatively. Recall, for example, the subjective difference between “25 percent of crops will be saved” and “75 percent of crops will die.” The same optimism or pessimism in framing can affect investment decision making. For example, suppose that Mrs. Smith chooses to invest in either Portfolio A or Portfolio B. Further suppose that Portfolios A and B are identical in every respect. Mrs. Smith learns that Portfolio A will offer her a 70 percent chance of attaining her financial goals, whereas Portfolio B offers Mrs. Smith a 30 percent chance of not attaining her financial goals. If Mrs. Smith is like most people, she will choose Portfolio A, because its performance prospects were more attractively framed.

Another key point to keep in mind is that framing bias and loss aversion bias can and do work together. When people have suffered losses, they may view losses as the right time to embark on risk-taking behavior; when people